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**CARIBBEAN EXAMINATIONS COUNCIL
CARIBBEAN ADVANCED PROFICIENCY EXAMINATION®**

MANAGEMENT OF BUSINESS

UNIT 2 – Paper 02

2 hours 30 minutes

29 MAY 2014 (p.m.)

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READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This paper consists of THREE sections: A, B and C.
2. Each section consists of TWO questions.
3. Candidates MUST answer ONE question from EACH section.
4. Begin EACH question on a separate page.
5. Each question is worth 25 marks.

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02233020/CAPE 2014



SECTION A

MODULE 1: PRODUCTION AND OPERATIONS MANAGEMENT

Answer ONE question from this section.

1. Cellular-to-the-World, located in Coconut Island in the West Indies, is an electronics gadget firm producing cellular phones. It distributes its products worldwide. In 2013, the firm sold two million phones. This is due to the fact that productivity levels are among the highest in the Caribbean. The presidents of five highly developed countries purchase specialized presidential phones annually for their personal use from Cellular-to-the-World. The firm has adopted the job production and flow production methods.

- ~~(a)~~ (i) Differentiate between 'job production' and 'flow production'. [4 marks]
- (ii) Explain ONE reason why the firm may have adopted
- a) the job production method [3 marks]
- b) the flow production method. [3 marks]
- (b) Outline THREE factors that would influence Cellular-to-the-World's choice of location for its manufacturing plant. [6 marks]
- (c) Discuss TWO likely reasons why Cellular-to-the-World has achieved high productivity levels. [9 marks]

Total 25 marks

2. Drinks-a-Lot is a highly profitable energy drink manufacturing company operating in the Caribbean. The energy drinks market has been expanding and Drinks-a-Lot wants to capitalize on the opportunities for growth and profitability. The company has considered outsourcing. However, the production manager has warned the president of the company that the business could experience diseconomies of scale.

- (a) (i) State the meaning of the term 'outsourcing'. [1 mark]
- (ii) Outline TWO ways in which outsourcing can improve the quality of products. [4 marks]
- (iii) Distinguish between 'economies of scale' and 'diseconomies of scale'. [4 marks]
- (b) Outline TWO ways in which Drinks-a-Lot can increase its capacity. [4 marks]
- (c) Discuss THREE disadvantages to Drinks-a-Lot if it operates at full capacity over the long term. [12 marks]

Total 25 marks

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SECTION B

MODULE 2: FUNDAMENTALS OF MARKETING

Answer ONE question from this section.

3. Viewmaster Glass Products, located in Sparrow Island, has been in the business of manufacturing glass products for the construction industry. When it was formed four years ago, it treated the market as a single entity; however, business has been developing rapidly and several competitors have since entered the market. Viewmaster Glass Products is contemplating segmenting the market in order to serve it better.

- (a) (i) Define the term 'market segmentation'. [2 marks]
- (ii) State THREE benefits of market segmentation. [3 marks]
- (iii) Outline FOUR bases on which markets are segmented. [8 marks]
- (b) (i) At which stage of the product life cycle is Viewmaster Glass Products likely to be? Cite TWO pieces of evidence from the scenario above to support your answer. [4 marks]
- (ii) Justify ONE pricing strategy and ONE promotional strategy which the company should adopt while it is at the product life cycle stage identified in (b) (i) above. [8 marks]

Total 25 marks

4. G's Stationery and Office Supplies operates in Manatee Island, in the Caribbean. The company uses a direct distribution channel and has never done any formal advertising. The marketing manager wants to focus on advertising and distribution as the company seeks to satisfy customers' needs.

- (a) (i) Distinguish between a 'direct distribution channel' and an 'indirect distribution channel'. [4 marks]
- (ii) Outline THREE factors that may influence G's Stationery and Office Supplies to choose a direct distribution channel. [6 marks]
- (b) (i) Define the term 'advertising'. [3 marks]
- (ii) Discuss THREE ways in which G's Stationery and Office Supplies could benefit from advertising. [12 marks]

Total 25 marks

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SECTION C

MODULE 3: SMALL BUSINESS MANAGEMENT

Answer ONE question from this section.

5. (a) (i) Define the term 'business plan'. [2 marks]
- (ii) Identify TWO components of a business plan. [2 marks]
- (b) (i) State THREE criteria for measuring the size of a business [3 marks]
- (ii) Outline THREE challenges faced by small businesses. [6 marks]
- (c) Discuss THREE advantages that small businesses enjoy which larger businesses do not enjoy. [12 marks]

Total 25 marks

6. (a) (i) Define the term 'entrepreneurship'. [2 marks]
- (ii) Identify THREE characteristics of a successful entrepreneur. [3 marks]
- (iii) State ONE advantage and ONE disadvantage of being an entrepreneur. [2 marks]
- (b) Carl owns a small landscaping business. However, he is spendthrift, ill tempered and does not keep proper accounting records.
- (i) Explain TWO benefits that Carl would enjoy if he were to borrow money from his family or friends to start his landscaping business. [6 marks]
- (ii) Discuss how the THREE characteristics displayed by Carl, may prevent him from becoming a successful entrepreneur. [12 marks]

Total 25 marks

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.